

INSURANCE AND PENSIONS COMMISSION



**QUARTERLY REPORT
FOR
FUNERAL ASSURERS**

FOR THE THIRD QUARTER ENDED 30 SEPTEMBER 2014

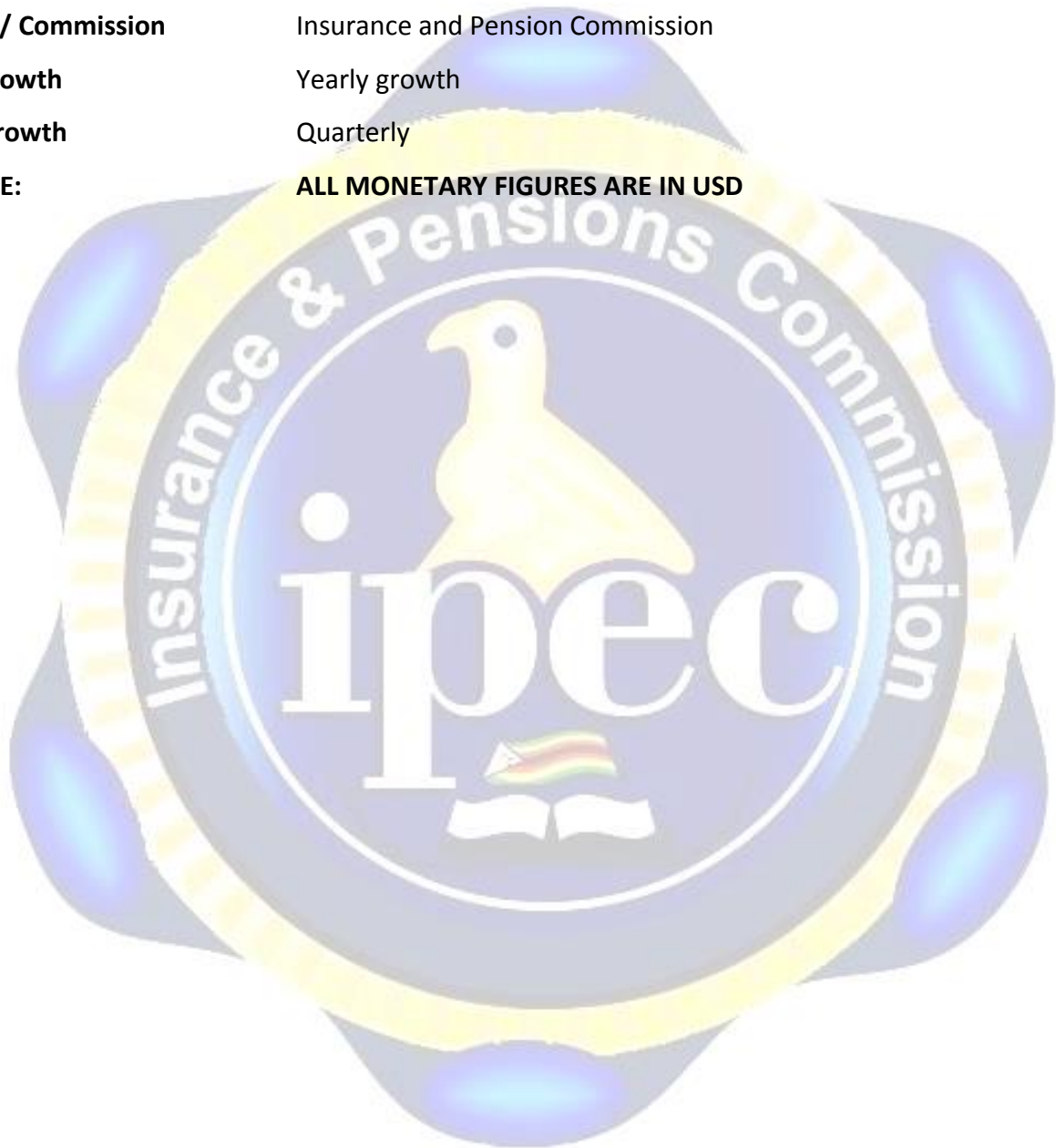
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2.0 List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/ Commission	Insurance and Pension Commission
Y-Growth	Yearly growth
Q-Growth	Quarterly

NOTE: ALL MONETARY FIGURES ARE IN USD



3.0 Industry Overview

This report is based on 9 funeral assurance companies

Funeral companies wrote \$28million in net premiums from \$24million reported in September 2013. Total costs grew by 14% from \$19million reported in the same period last year to the current \$22million. The industry realized \$7million in operating profit (September 2013: \$5million). The expense and combined ratios were reportedly 51% and 77% respectively (September 2013: 60% and 80%).

As at 30 September 2014, total assets were \$46million from \$38million in the corresponding period last year. However compliance with prescribed assets ratio continues to be low. The Commission will monitor compliance plans from the industry to correct this challenge in line with the Act.

The industry continued to be compliant with the minimum capital requirement of \$1 500 000 except 2 funeral companies which we are monitoring. Table 1, below summarizes the aggregated financial indicators of the funeral assurance industry.

Table 1: Summary of Financial Performance by Funeral Assurance Industry

Financial Aspect	Funeral Assurers		
	September 2013	September 2014	Growth
Gross Premiums Written(\$000)	23,649	28,189	19%
Net Premiums Written (\$000)	23,642	28,178	19%
Retention Ratio	100%	100%	-
Total Gross Claims (\$000)	4,671	7,184	54%
Total Net Claims (\$000)	4,671	7,184	54%
Management Expenses (\$000)	12,240	12,015	-2%
Commissions (\$000)	2,046	2,461	20%
Total Costs(\$000)	18,957	21,660	14%
Technical Profit(\$000)	4,685	6,518	39%
Expense Ratio	60%	51%	(11%)
Claims Ratio	20%	26%	6%
Combined Ratio	80%	77%	-3%
Total Assets (\$000)	37,635	45,638	21%
Total Liabilities (\$000)	15,945	16,587	4%
Free Capital(\$000)	21,689	29,057	148%
Capital to liability Ratio	136%	175%	39%
Prescribed Assets (\$000)	31	56	81%
Prescribed Asset Ratio (%)	-	-	--

4.0 Update on Number of Operational Institutions

This report is based on 9 players.

4.0 Business Written

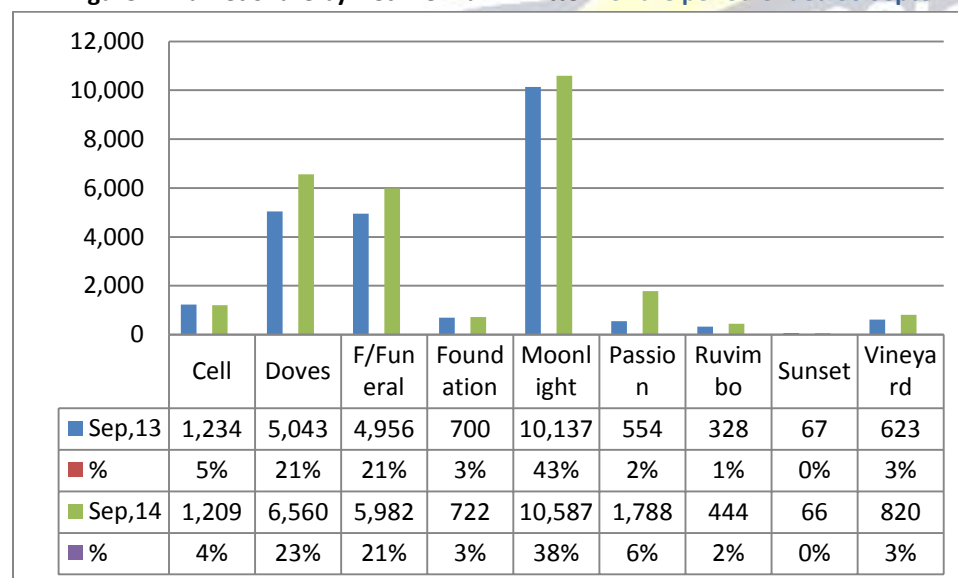
For the current review period, funeral companies wrote \$28million in Net Written Premiums (September 2013:\$24million). Thus the average growth rate was 19% (See Table 2 and Figure 1, below).

Table 2: Net Premium Distribution by Company for the period ended 30 September 2014

Company	Sept 2013	Sept 2014	Growth
Cell	1,234	1,209	-2%
Doves	5,043	6,560	30%
First Funeral	4,956	5,982	21%
Foundation	700	722	3%
Moonlight	10,137	10,587	4%
Passion	554	1,788	223%
Ruvimbo	328	444	35%
Sunset	67	66	-1%
Vineyard	623	820	32%
Total	23,642	28,178	19%

In terms of business distribution the biggest 3 players wrote 82% of the net premium (September 2013:85%). The Commission continues to encourage product innovation both in terms of benefit structure and distribution channels in the wake of growing competition from life companies who have bigger balance sheets (See Figure 1 below)

Figure1: Market Share by Net Premium Written for the period ended 30 September 2014



5.0 Business Composition

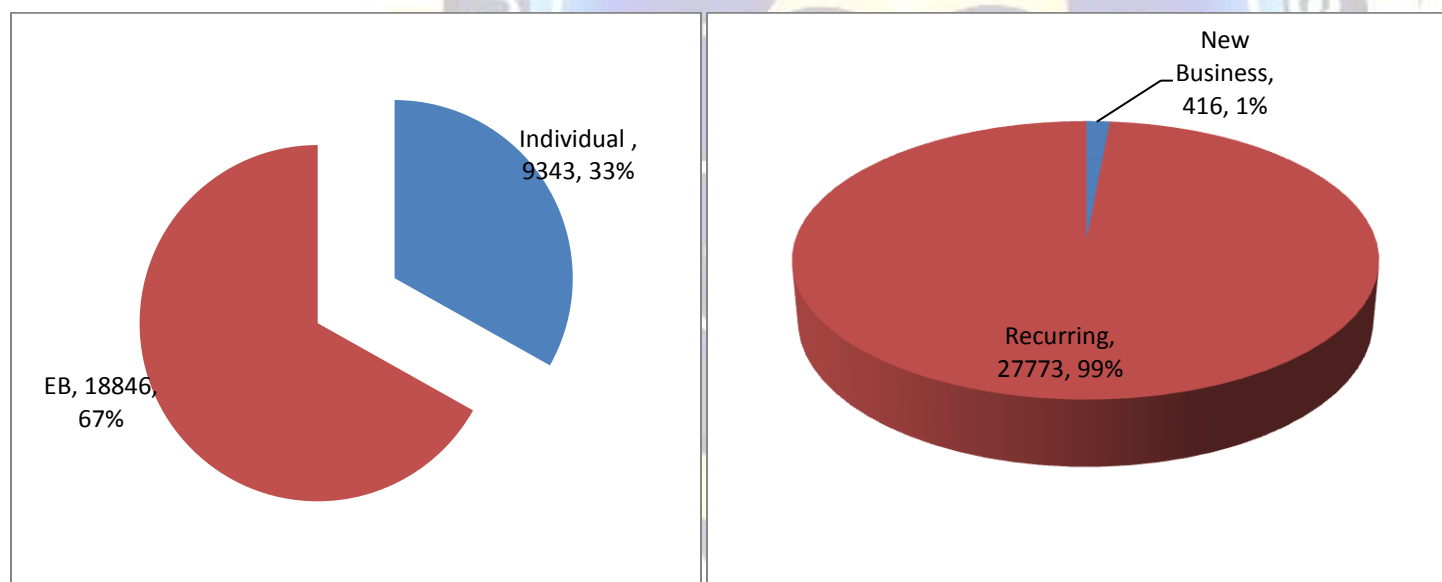
For the year to date ended 30 September 2014, the industry wrote \$28.2 million in gross premiums. Recurring business accounted for 99% or \$27,773million (September 2013:\$16,297million or 69%) whilst the balance was new business.

Individual clients contributed \$9,343 million or 33 % (September 2013:\$11,209million or 47%) compared to \$18,846 or 67% attributable to corporate business (September 2013:\$12,440million or 53%) This trend highlights liquidity challenges obtaining in the economy but more importantly flags an opportunity for players to come up with products which are affordable to lower income earners. (See Table 3 and Figure 2, below)

Table 3: Business Composition by Company for the period ended 30 September 2014

Co. Name	Individual Life (000)						Corporate Business (000)						Total Gross Premiums (000)		
	New Business Premiums			Recurring Premiums			New Business			Recurring Premiums					
	Sep-13	Sep-14	Growth (%)	Sep-13	Sep-14	Growth (%)	Sep-13	Sep-14	Growth (%)	Sep-13	Sep-14	Growth (%)	Sep-13	Sep-14	Growth (%)
Cell	21	0	-100%	40	406	915%	0	0	-	1,173	813	-31%	1,234	1,219	-1%
Doves	56	31	-45%	3,244	991	-69%	-	97	-	1,743	5,440	212%	5,043	6,559	30%
First Funeral	70	39	-44%	4,886	5,943	22%	0	0	-	0	0	0%	4,956	5,982	21%
Foundation	19	3	-84%	681	719	6%	0	0	-	0	0	0%	700	722	3%
Moonlight	0	0	0%	1,031	137	-87%	7,093	169	(98%)	2,013	10,281	411%	10,137	10,587	4%
Passion	35	20	-43%	101	510	405%	46	47	2%	372	1,211	226%	554	1,788	223%
Ruvimbo	-	0	0%	328	210	-36%	-	0	-	0	235	0%	328	445	36%
Sunset	4	0	-100%	70	67	-4%	0	0	-	0	0	0%	74	67	-9%
Vineyard	8	2	-75%	615	265	-57%	-	8	-	0	545	0%	623	820	32%
TOTAL	213	95	-55%	10996	9,248	-16%	7,139	321	(96%)	5,301	18,525	249%	23,649	28,189	19%

Figure2: Business Composition by Company for the period ended 30 September 2014(000)



7.0 Not-taken Up policies and Lapsed Policies

For the current review period, funeral assurers reported not-taken up policies amounting to \$203 000. Given the reported gross premium figure as discussed earlier, it shows solid appetite for funeral policies by the insuring public..

The industry also realized largely nil lapse ratios indicating ethical business practices (See Table 4,below).

Table 4: Not-taken up policies and Lapsed Policies

	Not Taken Up Policies	Lapse Ratios	
	Total Premiums(000)	Individual (%)	Group Bus (%)
Cell	3	0	0
Doves	0	0	0
First Funeral	28	38%	0
Foundation	2	102%	0
Moonlight	133	0	11%
Passion	0	0	-
Ruvimbo	36	36	40
Sunset	0	0	0
Vineyard	1	5%	3%
Total	203		

8.0 Claims Aged Analysis

As at the date of reporting, the majority of players had current claims in their aged analysis which is considered acceptable. Players must pay all legitimate claims timeously to avoid market reputation challenges and a penalties from the Commission on benefice complains (See Table 5 below).

Table5: Claims Aged Analysis

Name of Company	Cell	Doves	First Funeral	Foundation		Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
>30days (000)	24	-	3	0		2	9	0	5	-	43
31-60days(000)	0	-	8	0		-	0	-	3	-	11
61-90days (000)	0	-	8	0		-	0	-	1	-	9
91-120days (000)	-	-	6	23		-	0	-	-	-	29
<121 days (000)	-	-	139	0		-	0	-	0	-	139
Reinsurance	-	-	-	-	-	-	-	-	-	-	-
Total	24	-	164	23		2	9	0	9	-	231

9.0 Debtor Aged Analysis

The funeral industry reported that they had total outstanding premium amounting to \$1,91million or 7% of Gross Written Premium. Given wide spread liquidity challenges, the 93% premium collection rate is considered commendable (See Table 8, below).

Table 6: Debtors Aged Analysis

Name of Company	Cell	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
30days (000)	3	-	-	5	465	72	32	0	0	577
60days(000)	3	-	-	3	292	54	27	-	0	379
90days (000)	4	-	203	3	134	40	31	-	0	415
120days (000)		-	-	11	121	52	39	-	0	223
121 days(000)				20	136	159	0		0	315
Total (000)	10	-	203	42	1,148	377	129	0	0	1,909

10.0 Earnings

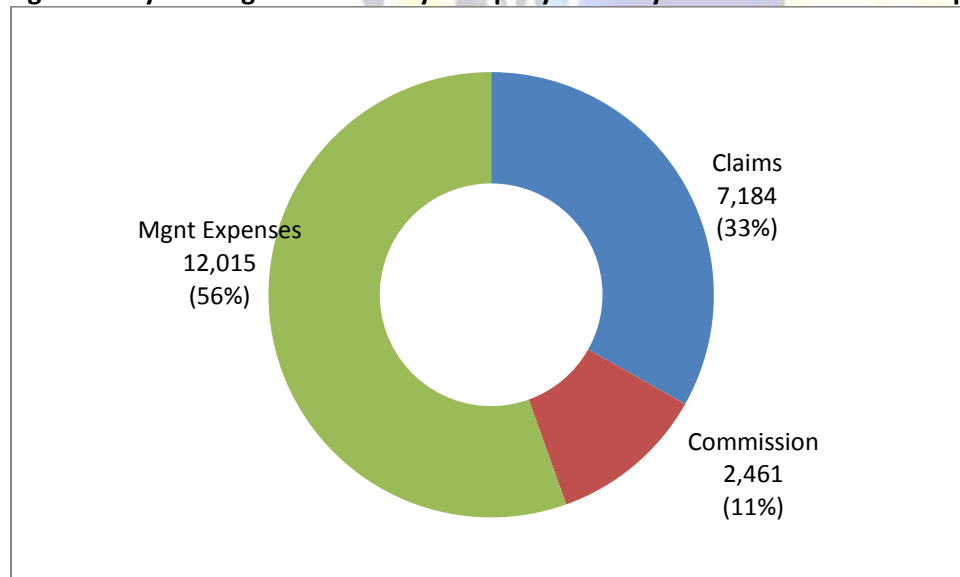
The cost distribution for the funeral industry was: management expenses,\$12.015million or 56% of total costs (September 2013:\$12,24million or 65%); claims-\$7.184million or 33%(September 2013:\$4.671million or 25%) whilst total commission was 11% or \$2.461million(September 2013:11% or \$2,046million).

The industry recorded combined ratio of 77% (September 2013:80%).The cost indicators for the funeral assurance industry was as shown in Table 7 and figure 3 below.

Table 7: Key Earnings Indicators By Company for the period ended 30 September 2014

Co. Name	NPW(000)		Claims (000)			Commission(000)			Management Expenses(000)			Total Costs(000)			Combined Ratio		
	13-Sep	14-Sep	13-Jun	14-Jun	Growth	13-Sep	14-Sep	Growth	13-Sep	14-Sep	Growth	13-Sep	14-Sep	Growth	13-Sep	14-Sep	Growth
Cell	1,234	1,209	27	29	7%	9	5	-44%	676	614	-9%	712	648	-9%	58%	54%	(4%)
Doves	5,043	6,560	1,566	3,289	110%	294	551	87%	1,474	2,399	63%	3,334	6239	86%	66%	95%	29%
First Funeral	4,956	5,982	1,508	1,667	11%	832	1,327	59%	1,480	1,469	-1%	3,820	4463	17%	77%	75%	(2%)
Foundation	700	722	100	75	-25%	69	46	-33%	481	538	12%	650	659	1%	93%	91%	(2%)
Moonlight	10,137	10,587	1,153	1,687	46%	772	479	-38%	7,448	5,850	-21%	9,373	8016	-14%	92%	76%	16%
Passion	554	1,788	67	221	230%	17	5	-71%	140	441	215%	224	667	198%	40%	37%	(3%)
Ruvimbo	328	444	93	44	-53%	6	12	100%	218	261	20%	317	317	0%	97%	71%	(26%)
Sunset	67	66	1	1	0%	4	2	-50%	34	29	-15%	39	32	-18%	58%	48%	10%
Vineyard	623	820	156	171	10%	43	34	-21%	289	414	43%	488	619	27%	78%	75%	(3%)
Total	23,642	28,178	4,671	7,184	54%	2,046	2,461	20%	12,240	12,015	-2%	18,957	21660	14%	80%	77%	(3%)

Figure3: Key Earnings Indicators By Company for the year to date ended 30 September 2014



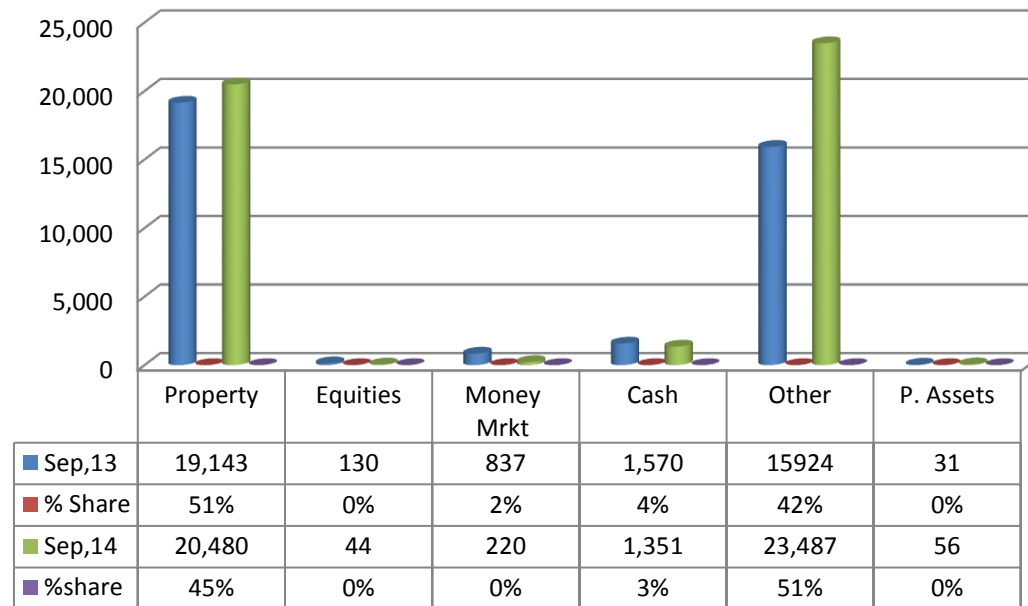
11. Asset Quality

Funeral companies reported that their investments were properties-45% or \$20,480million (September 2013:51% or \$19,143million}, equities-\$0.044million (September 2013:\$0.13million), money market-\$0.220million (September 2013:2% or \$0.857million), cash assets-\$1,351million or 3% (September 2013:\$1,570million or 4%) and other assets-\$23,847million or 51 % (September 2013:46% or \$15,924million). Asset allocation must continue to be informed by actuarial advice and Commission Circulars from time to time (See Table 8 and Figure 4 below)

Table 8: Funeral industry Asset Base as at 30 September 2014

Co.	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets(000)			Total Assets (000)		
	Sep 13	Sep 14	%	Sep 13	Sep 14	%	Sep 13	Sep 14	%	Sep 13	Sep 14	%	Sep 13	Sep 14	%	Sep 13	Sep 14	%	Sep 13	Sep 14	%
Cell	229	318	39%	16	19	19%	675	0	19%	212	861	306%	300	67	-78%	0	-	0%	1,432	1,265	-12%
Doves	2,807	3,858	37%	101	6	(94)%	101	103	-94%	121	209	73%	9,817	11,343	16%	10	17	70%	12,957	15,536	20%
First Funeral	1,228	1,247	2%	11	16	45%	0	0	45%	16	74	363%	3,198	5,914	119%	10	0	-100%	4,463	7,251	62%
Foundation	1,170	1,395	19%	0	0	0	30	44	0%	46	17	-63%	449	622	39%	10	9	-10%	1,705	2,087	22%
Moonlight	11,108	9,055	-18%	0	0	0	0	0	0%	1,057	11	-99%	-	3,432	0%	0	16	0%	12,165	12,514	3%
Passion	300	639	113%	0	0	0	0	0	0%	67	134	100%	755	731	-3%	0	0	0%	1,122	1,504	34%
Ruvimbo	703	1,085	54%	0	0	0	0	41	0%	-	0	-	960	757	-21%	0	2	0%	1,663	1,885	13%
Sunset	983	1,695	72%	0	0	0	0	0	0%	8	0	-100%	70	19	-73%	0	-	0%	1,061	1,714	62%
Vineyard	615	1,188	93%	2	3	50%	31	32	50%	43	45	5%	375	602	61%	1	12	1100%	1,066	1,882	77%
Total	19,143	20,480	7%	130	44	4%	837	220	-74%	1,570	1,351	-14%	15924	23,487	47%	31	56	81%	37,635	45,638	21%

Figure 4: Funeral industry Asset Base as at 30 September 2014



12. Capitalization and Solvency

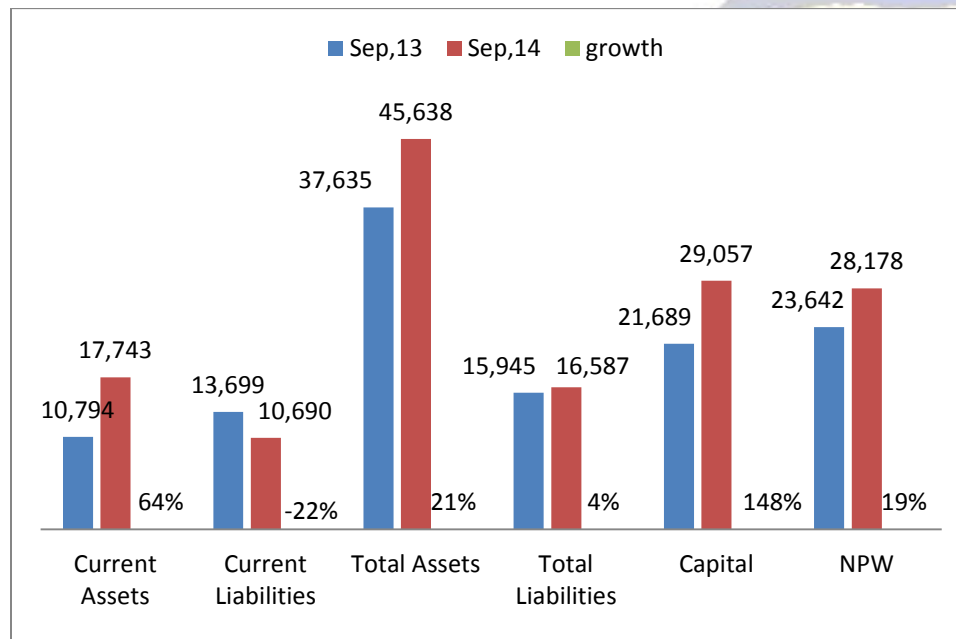
As at the review period, two players were in violation of the minimum capital requirements in line with Statutory Instrument 21 of 2013. Recapitalisation efforts are underway with close monitoring by the Commission to ensure compliance with the \$1 500 000 capital requirement (See table 9 and figure 5 below).

Players reported capital to liability and liquid ratios of 175% and 166% respectively (September 2013:136% and 79%) implying low liquidity and operational risk.

Table 9: Levels of Capitalization, Liquidity and Solvency Indicators

Co.	Current Assets			Current Liabilities			Total Assets		Total Liabilities			Capital (Net Assets)			NPW		Capital to liability Ratio (%)			Liquidity (Current) Ratio (%)			Capital to NPW Ratio (%)		
	13-Sep	14-Sep	%	13-Sep	14-Sep	%	13-Sep	14-Sep	13-Sep	14-Sep	%	13-Sep	14-Sep	%	13-Sep	14-Sep	13-Sep	14-Sep	%	13-Sep	14-Sep	%	13-Sep	14-Sep	%
Cell	995	948	-5%	669	1,085	62%	1,432	1,265	669	1,085	62%	763	180	-76%	1,234	1,209	114%	17%	-97%	149%	87%	-62%	62%	15%	-47%
Doves	3,849	5,402		1,085	1,508		12,957		1,438	2,154			13,380		5,043	6,560		-							
			40%			39%		50%			11,519			16%			801%		621%	180%	355%	358%	3%	228%	204%
F/Funeral	3,080	6,004	95%	227	374	65%	4,463	7,251	644	699	9%	3,819	6,552	72%	4,956	5,982	593%	937%	344%	1357%	1605%	248%	77%	110%	33%
F/ndation	406	509	25%	301	456	51%	1,705	2,087	1,237	1,755	42%	468	332	-29%	700	722	38%	19%	-19%	135%	112%	-23%	67%	46%	-21%
Moonlight	1,057	3,443	226%	5,144	6,299	22%	12,165	12,514	10,618	9,755	-8%	1,547	2,759	1682%	10,137	10,587	15%	28%	13%	21%	55%	34%	15%	26%	11%
Passion	635	715	13%	5,469	307	-94%	1,122	1,504	326	307	-6%	796	1,197	50%	554	1,788	244%	390%	146%	12%	233%	221%	144%	67%	-77%
Ruvimbo	311	195	-37%	349	382	9%	1,663	1,885	522	382	27%	1,141	1,511	32%	328	444	219%	396%	177%	89%	51%	-38%	348%	340%	-8%
Sunset	54	0	-100%	103	134	30%	1,061	1,714	213	134	37%	848	1,580	86%	67	66	398%	1179%	781%	52%	0%	-52%	1266%	2394%	1128%
Vineyard	407	527	29%	352	145	-59%	1,066	1,882	278	316	14%	788	1,567	99%	623	820	283%	496%	213%	116%	363%	247%	126%	191%	65%
Total	10,794	17,743	64%	13,699	10,690	-22%	37,634	45,638	15,945	16,587	4%	21,689	29,057	148%	23,642	28,178	136%	175%	39%	79%	166%	87%	92%	103%	11%

Figure 5: Levels of Capitalization, Liquidity and Solvency Indicators



13. Prescribed Assets

Out of a minimum level of 7.5%, of total assets the industry's uptake of prescribed paper was 0.1%. Players are however required to participate as availability improves to avoid statutory penalties (See Table 8 and 10).

Table 10: List of Approved Prescribed Paper

Issuer	Bond Name	Bond Description	Tenure	Coupon rate	Issue date
Fidelity Life Assurance	Fidelity Life Assurance Bond-\$10million	Funding Development of South view Park	5years	11%	17 February 2014
IDBZ	IDBZ Bond-\$65million	Infrastructure Development	5years	8%	17November 2014
NMB Bank	SMEs-\$10million	SMEs capitalization	2years	10%	July 2014
AGRIBANK/FBC BANK	Agro bank/FBC Agro bills-\$15million	To finance the cropping season	270 & 360 days	10%	28 July 2014
CBZ	Agro bills-\$105 million	Purchase of 2013/2014 grains by GMB	1year	9-12%	October 2014
ZB Financial Holdings	ZB Agro bills-\$10 million	To support 2014/15 Agricultural season	270 & 360 days	10%	03 October 2014
Bindura Nickel Corporation	Bindura Nickel Bond-\$20 million	Recapitalization of the mine	5years	10%	November 2014

14.0 Acts, Statutory Instruments and Circulars

For the quarter under review the Commission had circulated or issued the following circulars instruments to guide the industry on various issues affecting the operations of the industry:-There were changes in the Act and regulations.

Table 11: Issued Acts, Circulars and Statutory Instruments for the year ended 30 September 2014

Details	Subject Matter	Issue date
Circular No. 1 of 2014	Calculation of capital for short term Insurers	5 June 2014
Circular No.2 of 2014	Commutation of Pensions	11 April 2014
Circular No.3 of 2014	Dissolution of Pension Funds	03 August 2014
Circular No.4 of 2014	Calculation of Capital for non-life companies	10 September 2014
Circular No. 5 of 2014	Preparation of Financial Statements	9 October 2014
Circular No. 6 of 2014	Modernizing Insurance Regulation in Zimbabwe	9 October 2014
Circular No. 7 of 2014	Actuarial Standards for Pension fund valuation	21 October 2014
Circular No. 8 of 2014	Actuarial valuation For short Term Insurance Companies	14 November 2014

CONCLUSION

The major challenges for the funeral industry were on capitalization, compliance with prescribed assets and vulnerability to competition due to dearth of product innovation. Key stakeholders are encouraged to address these key issues to ensure compliance and to improve the industry's competitive edge.